are seen as a constant threat to the Chinese state.

Despite its embrace of globalization during its reform and liberalization phase since 1978, China under Xi Jinping appears to be moving towards a less open society, emphasizing self-reliance over deeper engagement with the outside world. External influences are once again being seen as corrupting and undermining the ideology and authority of the one-party Leninist state. India, by contrast, has sustained a stable plural democracy over the last several decades and does not suffer the same anxieties as China's authoritarian state.

But in meeting the China challenge, India will need to build on its relatively stable polity and the inherent cultural assets it possesses. The rise of narrow nationalism, the deliberate stoking of communal discord and the attempt to put a monochromatic frame over a diverse country with a multiplicity of languages, religions and cultural traditions, which we are witnessing today, devalue the very assets which make India distinctive and which would enable it to navigate a world in which borders are becoming less and less relevant.

China's authoritarian system and its success in delivering spectacular economic growth over the past four decades has led some people in India and other countries to regard it as a model to be emulated. Democratic dispensations are considered as being incapable of coherent decision-making and efficient implementation, which an authoritarian state like China has been able to achieve. One should realize that China's rapid growth and prosperity are the outcome more of its embrace of globalization and less of the superiority of its one-party Leninist state. We are now witnessing a relative retreat from globalization under Xi Jinping, and whether this will impact China's ability to sustain its growth trajectory is an open question.

From 1978 to 2008, China had an unusually benign and supportive international economic environment in which it could pursue its investment- and export-led growth strategy. Led by the US, most barriers to foreign trade and investment flows were dismantled during this period. Foreign trade grew at an average rate of 6 per cent per annum while global